DEMO INTERNATIONAL, INC.

Financial Statements

December 31, 2024 and 2023

(With Independent Auditors' Report Thereon)

Contents

Independent Auditors' Report

Based on a report originally issued in Korean

To the Shareholders and Board of Directors of DEMO
International, Inc.

Qualified Opinion

We have audited the financial statements of DEMO International, Inc. (the "Company"), which comprise the statements of financial position as of December 31, 2024 and 2023, the statements of income, changes in equity and cash flows for the years then ended, and notes, comprising significant accounting policies.

In our opinion, except for the possible effects on the financial statements of the matter described in the *Basis for Qualified Opinion* section of our report, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as of December 31, 2024 and 2023, and its operation, changes in equity and its cash flows for the years then ended in accordance with Accounting Standards for Non-public Entities in the Republic of Korea ("K-GAAP").

Basis for Qualified Opinion

As described in Note 6 to the financial statements, ₩3,150 million was recorded as development costs (assets) in the Company's statement of financial position as of December 31, 2023, and the Company reclassified ₩1,905 million of the development costs to research and development expenses and ₩435 million to amortization expenses for the year ended December 31, 2024. As a result, ₩765 million remained as development costs in the Company's statement of financial position as of December 31, 2024. The development costs recognized in the statement of financial position as of December 31, 2023 were the outcome of management's decision for the year then ended, and we expressed a qualified opinion on the financial statements as of and for the year then ended.

We were unable to obtain sufficient and appropriate audit evidence regarding whether the development costs recognized in the statements of financial position as of December 31, 2024 and 2023 met the criteria for recognition as intangible assets and their recoverability. Consequently, we were unable to determine whether any adjustments to the amounts recorded by the Company were necessary.

We conducted our audits in accordance with Korean Standards on Auditing ("KSAs"). Our responsibilities under those standards are further described in the *Auditors' Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the Republic of Korea, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with K-GAAP, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Other Matter

The procedures and practices utilized in the Republic of Korea to audit such financial statements may differ from those generally accepted and applied in other countries.

Auditors' Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with KSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with KSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used in the preparation of the financial statements and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Seoul, Korea
May 21, 2025

This report is effective as of May 21, 2025, the audit report date. Certain subsequent events or circumstances, which may occur between the audit report date and the time of reading this report, could have a material impact on the accompanying financial statements and notes thereto. Accordingly, the readers of the audit report should understand that the above audit report has not been updated to reflect the impact of such subsequent events or circumstances, if any.

DEMO INTERNATIONAL, INC.

Statements of Financial Position

As of December 31, 2024 and 2023

(In thousands of won)	*Note*		2024	2023
Assets				
Current assets				
Cash and cash equivalents	*20*	₩	11,259,742	21,295,609
Trade receivables, less allowance for doubtful accounts of ₩13,628,240 thousand in 2024 and ₩2,992,257 thousand in 2023	*20,21*		70,993,392	16,440,069
Non-trade receivables, less allowance for doubtful accounts of nil in 2024 and ₩501,574 thousand in 2023	*21*		507,843	13,327
Accrued income			39,626	11,859
Advance payments			60,726,856	96,571,758
Prepaid expenses			22,032	37,166
Finance lease receivables	*8,21*		33,334	37,662
Deposit provided			78,000	23,000
Prepaid value added tax			837,016	1,915,496
Current income tax assets			8,630	22,093
Inventories, net	*3*		27,878,140	28,505,629
Total current assets			172,384,611	164,873,668
Non-current assets				
Long-term financial instruments	*12*		2,000	2,000
Available-for-sale securities	*4*		14,630	-
Property, plant and equipment, net	*5,12*		50,550,981	56,577,521
Intangible assets, net	*6*		1,156,046	3,439,170
Finance lease receivables	*8,21*		281,309	288,663
Deposits provided			596,965	501,030
Total non-current assets			52,601,931	60,808,384
Total assets		₩	224,986,542	225,682,052

See accompanying notes to the financial statements.

DEMO INTERNATIONAL, INC.

Statements of Financial Position, Continued

As of December 31, 2024 and 2023

(In thousands of won)	*Note*		2024	2023
Liabilities				
Current liabilities				
Trade payables	*9,20*	₩	24,094,137	1,310,979
Short-term borrowings	*7,9,12,20,21*		102,626,552	90,260,266
Non-trade payables	*9,22*		2,770,952	1,536,762
Accrued expenses	*9,21*		15,267,725	7,084,577
Advances from customers	*21*		65,215,822	97,303,194
Withholdings			594,516	225,436
Total current liabilities			210,569,704	197,721,214
Non-current liabilities				
Long-term non-trade payables	*9*		206,583	204,819
Provision for retirement and severance benefits, net	*10*		272,270	699,065
Provision for restoration	*11*		170,310	170,310
Provision for onerous contracts	*11*		970,140	-
Deferred tax liabilities	*18*		598,712	598,712
Total non-current liabilities			2,218,015	1,672,906
Total liabilities			212,787,719	199,394,120
Shareholders' equity				
Common stock	*1,13*		56,583,358	56,583,358
Capital surplus			21,409,334	21,409,334
Capital adjustment	*14*		-	-
Accumulated other comprehensive income			4,059,547	4,059,547
Deficits	*24*		(69,853,416)	(55,764,307)
Total shareholders' equity			12,198,823	26,287,932
Total liabilities and shareholders' equity		₩	224,986,542	225,682,052

See accompanying notes to the financial statements.

DEMO INTERNATIONAL, INC.

Statements of Income

For the years ended December 31, 2024 and 2023

(In thousands of won, except earnings per share)	*Note*		2024	2023
Sales	*15,21*	₩	179,546,927	50,210,006
Cost of sales	*16,21*		150,050,428	53,727,092
Gross profit (loss)			29,496,499	(3,517,086)
Selling, general and administrative expenses	*17,21,23*		25,512,468	7,838,838
Operating income (loss)			3,984,031	(11,355,924)
Non-operating income				
Interest income			83,843	195,539
Income from pension plan assets			146,819	112,883
Gain on foreign currency transactions			3,958,712	547,813
Gain on foreign currency translations	*20*		1,617,474	508,890
Gain on sale of investment in securities			-	51,563,204
Gain on sale of property, plant and equipment			34,228	63,393
Gain on exemption of debt			-	13,855
Miscellaneous			414,382	397,248
			6,255,458	53,402,825
Non-operating expenses				
Interest expenses			5,747,725	5,198,778
Loss on foreign currency transactions			4,441,724	1,470,606
Loss on foreign currency translations	*20*		12,412,291	1,698,050
Loss on sale of trade receivables			-	119
Impairment loss on property, plant and equipment			358,013	-
Accrual for onerous contract provision			970,140	-
Miscellaneous			398,705	1,561,410
			24,328,598	9,928,963
Income (loss) before income taxes			(14,089,109)	32,117,938
Income tax expense	*18*		-	-
Net income (loss)	*24*	₩	(14,089,109)	32,117,938
Earnings (loss) per share	*19*			
Basic earnings (loss) per share in won		₩	(124)	284
Diluted earnings (loss) per share in won		₩	(124)	284

See accompanying notes to the financial statements.

DEMO INTERNATIONAL, INC.
Statements of Changes in Equity
For the years ended December 31, 2024 and 2023

(In thousands of won)		Common stock	Capital surplus	Accumulated other comprehensive income	Deficits	Total shareholders' equity
Balance at January 1, 2023	₩	56,583,358	21,409,334	4,056,682	(87,882,245)	(5,832,871)
Net income		-	-	-	32,117,938	32,117,938
Revaluation surplus		-	-	2,865	-	2,865
Balance at December 31, 2023	₩	56,583,358	21,409,334	4,059,547	(55,764,307)	26,287,932
Balance at January 1, 2024	₩	56,583,358	21,409,334	4,059,547	(55,764,307)	26,287,932
Net loss		-	-	-	(14,089,109)	(14,089,109)
Balance at December 31, 2024	₩	56,583,358	21,409,334	4,059,547	(69,853,416)	12,198,823

See accompanying notes to the financial statements.

DEMO INTERNATIONAL, INC.
Statements of Cash Flows
For the years ended December 31, 2024 and 2023

(In thousands of won)		2024	2023
Cash flows from operating activities			
Net income (loss)	₩	(14,089,109)	32,117,938
Adjustments for:			
Depreciation		4,795,033	2,479,265
Amortization		537,393	140,686
Bad debt expenses		10,900,392	2,240,477
Severance benefits		1,815,193	1,303,979
Loss on foreign currency translations		12,411,619	1,695,764
Loss on valuation allowance of inventories		-	337,454
Impairment loss on property, plant and equipment		358,013	-
Research and development		1,904,470	-
Accrual for onerous contract provision		970,140	-
Miscellaneous		-	1,528,680
Reversal of valuation allowance of inventories		(1,616,164)	-
Gain on foreign currency translation		(631,624)	(508,890)
Income from pension plan assets		(146,820)	(112,883)
Gain on sale of investment in securities		-	(51,563,204)
Gain on sale of property, plant and equipment		(34,228)	(63,393)
Gain on exemption of debt		-	(13,855)
Interest income		(27,767)	(11,859)
		31,235,650	(42,547,779)
Changes in assets and liabilities:			
Trade receivables		(63,852,181)	(13,000,506)
Non-trade receivables		(462,687)	(6,248)
Accrued income		(27,767)	53,315
Advanced payments		35,844,901	(90,856,177)
Prepaid expenses		15,134	24,973
Prepaid value added tax		1,078,480	249,636
Current income tax assets		13,463	(21,581)
Inventories		6,645,613	(10,610,589)
Trade payables		22,737,825	380,081
Non-trade payables		1,246,983	506,549
Accrued expenses		8,183,150	5,189,276
Advances from customers		(32,087,372)	88,475,101
Withholdings		369,080	53,218
Payment of retirement and severance benefits		(744,272)	(812,301)
Pension plan assets		(1,350,897)	(1,202,729)
		(22,390,547)	(21,577,982)
Net cash used in operating activities	₩	(5,244,006)	(32,007,823)

See accompanying notes to the financial statements.

DEMO INTERNATIONAL, INC.

Statements of Cash Flows, Continued

For the years ended December 31, 2024 and 2023

(In thousands of won)		2024	2023
Cash flows from investing activities			
Decrease in short-term loans	₩	-	985,959
Proceeds from sale of investment in securities		-	51,563,204
Proceeds from sale of machinery		1,000	10,000
Proceeds from sale of vehicles		1,400	-
Proceeds from sale of furniture and fixtures		-	44,809
Receipt of government grants		117,200	25,253
Collection of financing lease receivables		39,449	16,437
Decrease in deposits provided		25,000	20,000
Acquisition of buildings		-	(810,220)
Acquisition of machinery		(2,045,262)	(16,241,044)
Acquisition of vehicles		(30,054)	(29,638)
Acquisition of furniture and fixtures		(1,315,931)	(2,851,398)
Acquisition of leasehold improvement		-	(546,700)
Acquisition of construction in progress		(1,282,466)	(3,585,133)
Acquisition of industrial property rights		(2,016)	(9,950)
Acquisition of software		(126,010)	(290,850)
Acquisition of development costs		-	(2,549,013)
Increase in deposits provided		(175,935)	(272,324)
Net cash provided by (used in) investing activities		(4,793,625)	25,479,392
Cash flows from financing activities			
Increase in short-term borrowings		-	21,114,386
Increase in long-term non-trade payables		1,764	36,280
Decrease in short-term borrowings		-	(1,791,000)
Decrease in long-term non-trade payables		-	(55,584)
Net cash provided by financing activities		1,764	19,304,082
Net increase (decrease) in cash and cash equivalents		(10,035,867)	12,775,651
Cash and cash equivalents at beginning of year		21,295,609	8,519,958
Cash and cash equivalents at end of year	₩	11,259,742	21,295,609

See accompanying notes to the financial statements.

1. General Information

DEMO International, Inc. (the "Company") is a small and medium-sized manufacturer established on March 29, 2001 for the purpose of manufacturing, processing, importing and exporting various batteries and related parts. On May 22, 2002, the Company was registered as a foreign-invested company under the Foreign Investment Promotion Act through the issuance of ₩6 billion of common shares to Former Investor A Limited, a Malaysian company.

The Company changed its name from DEMO Korea, Inc. to DEMO International, Inc. in accordance with the resolution of the shareholders' meeting on March 6, 2012.

As of December 31, 2024, the Company's paid-in capital is ₩56,583,358 thousand through several capital increase and debt-equity swap since its establishment and the Company's shareholders are as follows:

(In shares and thousands of won)

	2024			
Shareholders	**Number of shares**		**Common stock**	**Ownership (%)**
Current ParentCo Ltd.	111,266,688	₩	55,633,344	98.32
Others	1,900,027		950,014	1.68
	113,166,715	₩	56,583,358	100.00

(In shares and thousands of won)

	2023			
Shareholders	**Number of shares**		**Common stock**	**Ownership (%)**
Former ParentCo LLP	111,266,688	₩	55,633,344	98.32
Others	1,900,027		950,014	1.68
	113,166,715	₩	56,583,358	100.00

In 2008, Former ParentCo US, Inc., based in U.S.A., acquired all of shares of Former Investor A Ltd. and Former Investor B Ltd. In 2021 and 2022, Related LenderCo Ltd., based in Russia, acquired 98.32% of common stock of the Company from Former Investor A Limited, Former Investor B Limited and Local Development Bank, and thus became the Company's controlling entity. In 2023, Former ParentCo LLP, an affiliate of Related LenderCo Ltd., acquired shares from Related LenderCo Ltd. and Former ParentCo LLP became the controlling entity. In 2024, Current ParentCo Ltd. acquired the Company's shares from Former ParentCo LLP and the controlling entity has changed from Former ParentCo LLP to Current ParentCo Ltd..

2. Significant Accounting Policies

The Company prepared its financial statements in accordance with Accounting Standards for Non-Public Entities in the Republic of Korea ("K-GAAP for Non-Public Entities") and applied the same accounting policies used in the previous year.

As of December 31, 2024, there are no new and amended standards that are issued, but not yet effective, which are applied to the Company.

The significant accounting policies applied by the Company in preparation of its financial statements are included below.

2. Significant Accounting Policies, Continued

(a) Financial Instruments

① General
The Company recognizes financial assets or financial liabilities in the statements of financial position when the Company becomes the counterpart of the contract. Transaction costs directly attributable to the acquisition of a financial asset or the issuance of a financial liability are added to or deducted from the fair value initially measured unless it is a financial asset or a financial liability that is measured at fair value after initial recognition.

Upon initial recognition, financial instruments are measured at their fair value, generally equal to their transaction price which is a fair value of consideration paid for financial assets and received from financial liabilities. The receivables, loans and payables arising from transactions with long-term payment plan are measured at their fair value only when their fair value significantly differs from their nominal value. If the consideration paid or received includes a consideration for something other than a financial instrument, the fair value of the instrument is assessed at market price, but if there is no market price, the fair value is estimated using valuation techniques (including discounted cashflow techniques).

Subsequently, financial assets or financial liabilities except for securities, derivatives, items designated at a fair value through profit or loss, and troubled debt restructuring are measured at amortized cost.

In the case of transfer of a financial asset except a security, the Company derecognizes a financial asset only when it cannot exercise its right to the transferred asset, cannot exercise effective control over the transferred assets after transfer, and the transferee has free right to dispose of the transferred financial asset. If the transfer does not meet the above conditions, it is accounted for as a secured borrowing transaction.

In the case of a financial asset with uncertain recovery other than a security, a credit loss calculation based on reasonable and objective criteria is accounted for as an allowance for doubtful account.

② Securities
Investments in debt securities on which the Company has the positive intent and ability to hold to maturity are classified as held-to-maturity. Securities that are acquired principally for the purpose of selling in the short term are classified as trading securities. Investments not classified as either held-to-maturity or trading securities are classified as available-for-sale securities.

Subsequently, held-to-maturity investments are carried at amortized cost and interest income is recognized in profit or loss using the effective interest method.

Trading securities and available-for-sale securities are subsequently carried at fair value. Available-for-sale equity securities that do not have a quoted market price in an active market and whose fair value cannot be reliably measured are recognized at cost.

Unrealized gains and losses arising from trading securities are recorded in profit or loss. Unrealized gains and losses arising from available-for-sale securities are recognized as other comprehensive income, which is recognized as profit or loss when the investments are impaired or sold.

For recognition of realized gains or losses on sale of securities, the moving average method is used to determine their costs.

2. Significant Accounting Policies, Continued

(a) Financial Instruments, Continued

At the end of each reporting period, the Company reviews whether there is objective evidence that securities may be impaired. In case that the recoverable amount is less than either the amortized cost of a debt security or the acquisition cost of an equity security, the Company recognizes the impairment loss in profit or loss unless there is counterevidence that impairment is not necessary.

An impairment loss is reversed if the reversal can be related objectively to an event occurring after the impairment loss is recorded. The reversal of an impairment loss does not exceed the amortized cost of held-to-maturity securities and acquisition cost of available-for-sale securities that would have been determined without having recognized an impairment loss in prior years or impairment loss recognized in prior years of available-for-sale securities measured at fair value. The reversal is recognized in profit or loss.

(b) Inventories

Unit cost of inventories is determined by the gross average method (the specific identification method for goods in transit).

Inventories are valued at the lower of acquisition cost and net realizable value (current replacement cost for raw materials).

Inventory are recognized as cost of sales during the period in which revenue is recognized by selling them. Valuation losses arising from the market price of the inventories falling below their carrying amounts are deducted as an allowance from the carrying amounts of inventories and charged to cost of sales. If the condition which caused the valuation losses no longer exists and the inventories' market price is greater than their carrying amounts, the valuation losses are reversed. The cumulative amount reversed cannot exceed the originally recognized impairment loss. Such a reversal is deducted from the cost of sales. In case of obsolescence loss from inventory shrinkage that arises from the difference between book quantity and actual quantity of inventories, losses occurred in the normal course of business are charged to cost of sales and the abnormally occurred losses are classified as non-operating expenses.

(c) Property, Plant and Equipment

① Acquisition Cost
The acquisition cost of property, plant and equipment includes the expenditures arising directly from the construction or acquisition of the asset, any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management. Assets acquired through investment in kind or donation are recorded at their fair value upon acquisition. If an asset is purchased on long-term deferred payment terms or its payment is deferred beyond normal credit terms, its acquisition cost is recorded as the cash price equivalent upon acquisition.

If assets are acquired free of charge or in exchange for less than their fair value through government grant, etc., the acquisition cost is recorded at their fair value upon acquisition. For assets acquired in exchange for a non-monetary asset, the fair value of the asset given up is used to measure the cost of the asset received. If the fair value of given assets is unclear, the fair value of the assets received is used in initial measurement.

② Depreciation
Depreciation is computed using the straight-line method over the estimated useful lives of the assets as follows:

2. Significant Accounting Policies, Continued

(c) Property, Plant and Equipment, Continued

	Useful lives (years)
Buildings	30
Structures	10
Machinery	8
Vehicles	4
Leasehold improvement	5
Furniture and fixtures	4

Depreciation methods, useful lives, and residual values are adjusted, if appropriate. The change is accounted for as a change in an accounting estimate.

The carrying amounts of revaluated land and buildings are accounted for at fair value as of the date of the revaluation less accumulated depreciation thereafter and accumulated impairment loss. The Company reevaluates the land and buildings' carrying value at the end of each reporting date, to ensure that the carrying amount does not differ materially from fair value.

If an asset's carrying amount increases as a result of the revaluation, the amount of the increase is recognized in other comprehensive income. However, if the same asset that had recognized revaluation decreases as profit or loss previously, then the revaluation increase is recorded as profit or loss in the current period up to the amount of decreases recognized previously.

If an asset's carrying amount decreases as a result of the revaluation, that decrease is first used to reduce the revaluation gain previously recognized in other comprehensive income for the same asset to zero, then the remaining amount is charged to profit and loss.

③ Capital and Revenue Expenditure
The expenditures that occur subsequent to acquisition or completion of assets are capitalized when it is probable the expenditures will generate future economic benefits and the amount can be measured reliably. If the criteria are not met, the expenditures are recognized in profit or loss.

④ Presentation
An asset is carried at its cost less any accumulated depreciation, any accumulated impairment losses, and government grant.

⑤ Restoration Cost
If the estimated cost for restoration of an asset after the end of the economic use of the asset meets the criteria for recognition of provisions, the present value of the restoration cost is included in the asset's acquisition cost.

⑥ Derecognition
The carrying amount of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected from use or disposal, and gains or losses arising from derecognition are recognized in profit or loss when the asset is derecognized. If the property, plant and equipment disposed of have related revaluation reserves recognized in other comprehensive income, the related amount is reclassified as profit or loss upon its disposal.

2. Significant Accounting Policies, Continued

(d) Intangible Assets

① Acquisition cost
The acquisition cost of a separately acquired intangible asset comprises its purchase price after deducting trade discounts and any directly attributable cost of preparing the asset for its intended use. If its payment is deferred beyond normal credit terms, its acquisition cost is recorded as the cash price equivalent upon acquisition.

Intangible assets acquired through business combinations are recognized at fair value on the acquisition date. Intangible assets that are not identifiable as of the acquisition date and the value attributable to items that do not meet the definition of an asset are included in goodwill.

If assets are acquired free of charge or in exchange for less than their fair value through government grant, etc., the acquisition cost is recorded at their fair value upon acquisition. For assets acquired in exchange for a non-monetary asset, the fair value of the asset given up is used to measure the cost of the asset received. If the fair value of given assets is unclear, the fair value of the assets received is used in initial measurement.

The costs in development phase that both meet certain criteria and have certain future economic benefits are recognized as intangible assets (development costs). The other costs in development phase are recognized as costs of goods or selling and administrative expenses (development expenses). The costs in research phase are recognized as selling and administrative expenses (research expenses).

The expenditures that occur subsequent to acquisition of intangible assets are capitalized when it is probable the expenditures will increase future economic benefits and the amount can be measured reliably. If the criteria are not met, the expenditures are recognized in profit or loss.

② Amortization
The acquisition costs of intangible assets are amortized on a straight-line basis over estimated useful lives (residual value is presumed to be zero) as follows:

	Useful lives (years)
Industrial property right	10
Software	4
Development costs	5

If there are indicators such as how intangible assets are used, technological advance, and change in market price after the last reporting period, previous estimates of useful life, etc. are reviewed. Amortization methods, useful lives, and residual values are adjusted, if appropriate. The change is accounted for as a change in an accounting estimate.

③ Presentation
An asset is carried at its cost less any accumulated amortization, any accumulated impairment losses, and government grant.

(e) Government Grant

Government grants are not recognized unless there is reasonable assurance that the Company will comply with the grant's conditions and that the grant will be received. The benefit of a government loan at a below-market interest rate is treated as a government grant.

2. Significant Accounting Policies, Continued

(e) Government Grant, Continued

Government grants received for asset acquisition are presented as a reduction of the acquisition cost of the acquired assets and, accordingly, reduce depreciation expense related to the acquired assets over their useful lives. When the assets are disposed of, the remaining government grant is reflected in gains or losses on sale of the assets.

In the case of receiving a government grant related to income, if there is no corresponding expense, it is accounted for as operating income if it is directly related to the Company's operating activities, and if not, as non-operating income. whereas, if a government grant related to income is paid for the purpose of supporting specific expenses, the government grant is accounted for as unearned revenue and offset against related expenses when the relevant conditions are met and used.

When the Company receives a non-monetary asset as a government grant, it assesses the fair value of the non-monetary asset and accounts for both grant and asset at that fair value. A government grant that becomes repayable is accounted for as a change in accounting estimate.

(f) Leases

① Lessee
Leases where the Company assumes substantially all the risks and rewards of ownership of the leased asset are classified as finance leases. The other leases are classified as operating leases.

For finance leases, the lower of the fair value of the leased asset and the present value of future minimum lease payments discounted at the interest rate implicit for the lessor are recognized as lease assets and liabilities, respectively. The minimum lease payments are apportioned to the repayment of the principal of lease liabilities and lease interest expenses using the effective interest method.

For operating leases, lease payments are recognized as an expense on a straight-line basis over the lease term.

② Lessor
Leases where substantially all of the risks and rewards of ownership of the leased asset are transferred to the lessee are classified as finance leases. The other leases are classified as operating leases.

For finance leases, the Company recognizes a finance lease payment receivable at the amount of the net investment in the lease. As of the commencement of the lease term, the difference between carrying amounts of lease asset and present value of minimum lease payments is recognized in profit or loss as disposal gain or loss of leased assets. Interest income for net investment in the lease is accounted for using the effective interest method.

For operating leases, lease revenues are recognized in profit or loss on a straight-line basis over the lease term. The incremental costs that are directly attributable to negotiating and arranging a lease are recognized as initial direct costs which are presented as a separate asset. The depreciation policy for leased assets is consistent with the lessor’s depreciation policy for similar assets.

(g) Foreign Currency Transactions

A foreign currency transaction is recorded, on initial recognition, by applying to the foreign currency amount the spot exchange rate at the date of the transaction. If there is no significant fluctuation in exchange rates, the average rate for a period is used.

2. Significant Accounting Policies, Continued

(g) Foreign Currency Transactions, Continued

At the end of each reporting period, foreign currency monetary items is translated using the closing rate; non-monetary items that are measured in terms of historical cost in a foreign currency is translated using the exchange rate at the date of the transaction; and non-monetary items that are measured at fair value in a foreign currency is translated using the exchange rates at the date when the fair value was measured.

Exchange differences arising on the settlement of monetary items or on translating monetary items at rates different from those at which they were translated on initial recognition during the period or in previous financial statements is recognized in profit or loss in the period in which they arise, except for foreign currency denominated available-for-sale debt security whose exchange difference is recognized in other comprehensive income.

When a gain or loss on a non-monetary item is recognized in other comprehensive income, any exchange component of that gain or loss is recognized in other comprehensive income. Conversely, when a gain or loss on a non-monetary item is recognized in profit or loss, any exchange component of that gain or loss is recognized in profit or loss.

(h) Provisions, Contingent Liabilities and Contingent Assets

① Provisions
The Company recognizes a present obligation as a provision when its timing or amount is uncertain, but it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation.

② Contingent Liabilities
The Company considers the following as contingent liabilities and does not recognize them as liabilities.

- a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity; or
- a present obligation that arises from past events but is not recognized because it is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation or the amount of the obligation cannot be measured with sufficient reliability.

③ Contingent Assets
The Company does not recognize a possible asset that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the entity, as contingent assets.

(i) Stock Option

If new shares are issued at the time of exercise of stock options, the difference between the exercise price and the par value of the new shares is accounted for as additional paid-in capital, and if treasury stocks are issued, the difference between the exercise price and the carrying amount of treasury stocks is accounted for as gain or loss on sale of treasury stocks.

(j) Revenue Recognition

Revenue from sale of goods or services rendered is measured at the fair value of the consideration received or receivable, net of returns and allowances, trade discounts and volume rebates.

2. Significant Accounting Policies, Continued

(j) Revenue Recognition, Continued

Revenue is recognized when the significant risks and rewards of ownership have been transferred to the buyer, recovery of the consideration is probable, the associated costs and possible return of goods can be estimated reliably, and there is no continuing management involvement with the goods.

(k) Retirement and Severance Benefits

The Company adopted a defined benefit pension plan, and it accrues liabilities related to the defined benefit pension plan as lump-sum payments payable to employees assuming the employees were retired as of the end of the reporting period.

In addition, for employees who are not covered by the defined benefit pension plan, lump-sum payments payable to the employees assuming the employees were retired as of the end of the reporting period is accrued as retirement and severance benefit provisions. The combined provision for retirement and severances benefits under the pension plan and those under the existing retirement benefit plan are recorded as the liability for retirement and severance benefits.

Pension plan assets under the pension plan are accounted for as a reduction of the provision for retirement and severance benefits. If the plan assets exceed the sum of the liabilities relating to the retirement and severance benefits, the excess is accounted for as investment assets.

(l) Impairment of assets

Impairment of assets other than financial assets, inventories, assets arising from construction contracts, deferred tax assets, biological assets associated with agricultural activities measured at fair value less costs to sell, assets constituting a discontinued operation is recognized as follows.

Intangible assets that are not yet available for use, assets held-for-sale and goodwill, irrespective of whether there is any indication of impairment, are tested for impairment annually by comparing their recoverable amounts to their carrying amounts. Other assets are reviewed at the end of the reporting period to determine whether there is any indication of impairment. If any such indication exists, then the asset's recoverable amount is estimated.

If the recoverable amount of an asset is significantly less than its carrying amount due to its obsolescence and sharp drop in its market value, etc., the carrying amount of the asset is reduced to its recoverable amount. That reduction is accounted for as an impairment loss. In respect of property, plant and equipment, if there are indications of impairment the asset and the sum of future cash flows expected from the use and disposal of the asset (including individual assets or cash-generating unit ("CGU")) is less than its carrying amount, the carrying amount of the asset is reduced to its recoverable amount. That reduction is accounted for as an impairment loss.

The Company estimates the recoverable amount of an individual asset. If it is impossible to measure the individual recoverable amount of an asset, then the Company estimates the recoverable amount of each CGU. An impairment loss is recognized if the carrying amount of an asset or a CGU exceeds its recoverable amount. Any impairment identified at the CGU level will first reduce the carrying amount of goodwill and then reduce the carrying amount of the other assets in the CGU on a pro rata basis.

At the end of each reporting period, assets other than goodwill are reviewed to determine whether there is any indication that the impairment loss recognized in the past no longer exists or has been reduced. If any such indication exists, then the asset's recoverable amount is estimated. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount.

2. Significant Accounting Policies, Continued

(l) Impairment of assets, Continued

An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized. The reversal is recognized in profit or loss.

A reversal of an impairment loss for a CGU is allocated to the assets of the unit, except for goodwill, pro rata with the carrying amounts of those assets. An impairment loss recognized for goodwill is not reversed in a subsequent period.

(m) Income Taxes

Income tax expenses comprise of corporate tax and surtax payables according to corporate tax act, etc.; change in deferred tax arising from temporary difference between accounting income and taxable income, tax loss and tax credit that can be carried forward; tax effects directly reflected in capital; and tax effect reflected in income of discontinued operations.

Deferred tax assets and deferred tax liabilities are classified as current and non-current in the statement of financial position, and deferred tax assets and deferred tax liabilities within the same current and non-current classification are presented offset, respectively.

(n) Accounting for Small and Medium-sized Entities

In accordance with K-GAAP for Non-Public Entities No. 31 "Accounting for Small and Medium-sized Entities", the Company prepares financial statements as follows:

① Non-marketable securities are recorded at acquisition cost and impairment loss is recognized when objective evidence exists.
② Equity method is not applied to the equity security that the Company can exercise a significant influence. However, equity method is applied to subsidiaries that are in scope of consolidation.
③ The receivables and payables arising from long-term deferred payment transactions and long-term loan transaction are recorded as nominal value on the statements of financial position.
④ The determination of the useful life and residual value of property, plant and equipment and intangible assets is applied in accordance with laws and regulations such as the Corporate Tax Act.
⑤ For equity-settled share-based payment transactions, no separate accounting is performed until the granted equity instruments are actually exercised and new shares are issued.

(o) Use of estimates

The preparation of the financial statements in conformity with K-GAAP for Non-Public Entities requires management to make judgments, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income, and expenses, which includes the carrying amount of property, plant and equipment, trade receivables, inventories, deferred tax assets, and provisions, etc. Actual results may differ from these estimates.

Conflicts between Russia and Ukraine and international sanctions against Russia is ongoing. Restrictions on Russian banks' access to SWIFT payment systems caused the lack of liquidity in the Russian foreign exchange market, decline in Russian Ruble and decrease in the Russian companies' enterprise value. This may result in a decrease in the value of financial assets or operating assets held by the Company in relation to a disputed country, an increase in the collection period, restrictions on capital transfers, and a decrease in profits, but the financial impact on the Company cannot be estimated.

3. Inventories

Details of inventories as of December 31, 2024 and 2023 are as follows:

(In thousands of won)

		2024			
		Acquisition cost	Book value	Inventory valuation allowance	
				Change	Accumulated
Merchandise	₩	1,194,877	1,194,877	-	-
Finished goods		8,974,109	7,915,088	(520,230)	(1,059,021)
Semi-finished goods		8,378,316	7,831,944	(507,268)	(546,372)
Work-in-process		501,450	501,450	-	-
Raw materials		11,026,303	10,285,091	392,896	(741,212)
Sub-materials		129,281	125,534	2,978	(3,747)
Goods in transit		24,156	24,156	-	-
	₩	30,228,492	27,878,140	(631,624)	(2,350,352)

(In thousands of won)

		2023			
		Acquisition cost	Book value	Inventory valuation allowance	
				Change	Accumulated
Merchandise	₩	1,134	1,134	-	-
Finished goods		8,082,427	6,503,176	(312,253)	(1,579,251)
Semi-finished goods		5,543,775	4,490,135	472,499	(1,053,640)
Work-in-process		559,447	559,447	-	-
Raw materials		17,188,293	16,839,977	177,015	(348,316)
Sub-materials		88,374	87,605	192	(769)
Goods in transit		24,156	24,156	-	-
	₩	31,487,606	28,505,630	337,453	(2,981,976)

4. Available-for-sale Securities

Details of available-for-sale securities as of December 31, 2024 and 2023 are as follows:

(In thousands of won)

		2024		2023	
Company	Percentage of ownership	Acquisition costs	Book value (*)	Acquisition costs	Book value
Equity securities:					
Limited Liability Company InvesteeCo GreenTech Ltd.	100%	14,630	14,630	-	-

(*) As the equity security is not a subsidiary in scope of consolidation, it was recorded at acquisition cost instead of applying the equity method in accordance with Accounting for Small and Medium-sized Entities.

5. Property, Plant and Equipment

(a) Changes in property, plant and equipment for the years ended December 31, 2024 and 2023 are as follows:

(In thousands of won)		2024						
		Book value as of January 1	Acquisitions	Impairment	Depreciation	Government grant	Others (*)	Book value as of December 31
Land	₩	4,486,697	-	-	-	-	-	4,486,697
Buildings		4,375,319	-	-	(434,642)	-	-	3,940,677
Structures		60,942	-	-	(7,100)	-	-	53,842
Machinery		32,570,906	2,045,262	-	(2,972,593)	(117,200)	3,150,715	34,677,090
Vehicles		22,239	59,204	-	(14,097)	-	-	67,346
Furniture and fixtures		5,136,932	1,277,838	-	(1,182,297)	-	394,160	5,626,633
Leasehold improvement		816,755	-	(358,013)	(184,304)	-	-	274,438
Construction-in-progress		9,107,731	1,282,466	-	-	-	(8,965,939)	1,424,258
	₩	56,577,521	4,664,770	(358,013)	(4,795,033)	(117,200)	(5,421,064)	50,550,981

(*) The sum of others consists of transfer from construction-in-progress to merchandise of ₩5,386,500 thousand and to industrial property right of ₩ 34,564 thousand.

As of December 31, 2024, certain portions of the Company's property, plant and equipment are pledged as collateral for short-term borrowings and line of credit (Note 12).

(In thousands of won)		2023						
		Book value as of January 1	Acquisitions	Disposal	Depreciation	Government grant	Others (*)	Book value as of December 31
Land	₩	4,486,697	-	-	-	-	-	4,486,697
Buildings		3,947,226	810,220	-	(382,127)	-	-	4,375,319
Structures		68,042	-	-	(7,100)	-	-	60,942
Machinery		732,219	16,241,044	(269,000)	(897,913)	-	16,764,556	32,570,906
Vehicles		-	29,638	-	(7,399)	-	-	22,239
Furniture and fixtures		2,604,300	2,899,919	(14,235)	(1,088,961)	(25,253)	761,162	5,136,932
Leasehold improvement		-	717,010	-	(95,765)	-	195,510	816,755
Construction-in-progress		23,386,353	3,585,133	-	-	-	(17,863,755)	9,107,731
	₩	35,224,837	24,282,964	(283,235)	(2,479,265)	(25,253)	(142,527)	56,577,521

(*) The sum of others consists of transfer from construction-in-progress to development costs of ₩132,209 thousand and to industrial property right of ₩ 10,317 thousand.

5. Property, Plant and Equipment, Continued

(b) The officially declared value of land as of December 31, 2024 and 2023, as announced by the Ministry of Land, Infrastructure and Transport, are as follows:

(In thousands of won)		2024		2023	
		Book value	Declared value	Book value	Declared value
Land	₩	4,486,697	2,445,060	4,486,697	2,476,693

6. Intangible Assets

(a) Details of intangible assets as of December 31, 2024 and 2023 are as follows:

(In thousands of won)		2024				
		Acquisition cost	Accumulated amortization	Government grant	Accumulated impairment	Book value
Industrial property rights	₩	259,374	(175,166)	-	(33,219)	50,989
Software		625,258	(178,360)	(87,500)	(64,457)	294,941
Development costs		1,360,417	(550,301)	-	-	810,116
	₩	2,245,049	(903,827)	(87,500)	(97,676)	1,156,046

(In thousands of won)		2023				
		Acquisition cost	Accumulated amortization	Government grant	Accumulated impairment	Book value
Industrial property rights	₩	222,794	(169,890)	-	(33,219)	19,685
Software		503,098	(81,700)	(87,500)	(64,457)	269,441
Development costs		3,264,887	(114,844)	-	-	3,150,043
	₩	3,990,779	(366,434)	(87,500)	(97,676)	3,439,169

(b) Changes in intangible assets for the years ended December 31, 2024 and 2023 are as follows:

(In thousands of won)		2024				
		Book value as of January 1	Acquisitions	Amortization	Others (*)	Book value as of December 31
Industrial property rights	₩	19,685	2,016	(5,276)	34,564	50,989
Software		269,441	122,160	(96,660)	-	294,941
Development costs		3,150,043	-	(435,457)	(1,904,470)	810,116
	₩	3,439,169	124,176	(537,393)	(1,869,906)	1,156,046

(*) Others consist of transfer from construction-in-progress of ₩34,564 thousand and transfer to research and development costs of (-)₩1,904,470 thousand.

6. Intangible Assets, Continued

(In thousands of won)		2023				
		Book value as of January 1	Acquisitions	Amortization	Others (*)	Book value as of December 31
Industrial property rights	₩	-	9,950	(582)	10,317	19,685
Software		-	294,700	(25,259)	-	269,441
Development costs		583,665	2,549,013	(114,844)	132,209	3,150,043
	₩	583,665	2,853,663	(140,685)	142,526	3,439,169

(*) Others represent transfer from construction-in-progress.

7. Borrowings

Details of short-term borrowings as of December 31, 2024 and 2023 are as follows:

(In thousands of won)

Lender	Maturity	Interest rate		2024	2023
Related LenderCo Ltd.	June 29, 2025	6.00%	₩	102,626,552	90,260,266
			₩	102,626,552	90,260,266

8. Finance Lease

(a) Principal terms of lease contracts
The Company entered into an equipment lease agreement with Related LenderCo Ltd.. The Company is the lessor of manufacturing equipment and the lease term is 180 months.

(b) The present value of the gross investment in the lease and minimum lease payments as of December 31, 2024 is as follows:

(In thousands of won)		Minimum lease payments	Unguaranteed residual value
Due within a year	₩	39,449	-
Due after one year through five years		157,798	-
Due after 5 years		338,608	-
Total minimum lease payments		535,855	-
Unearned interest		(221,212)	-
Net investment in the lease	₩	314,643	-

(c) No allowance for uncollectable minimum lease payments receivables is recorded as of December 31, 2024.

9. Financial Risk Management and Maturity Analysis for Financial Liabilities

(a) Liquidity risk management
Liquidity risk is the risk that the Company will encounter difficulty in meeting the obligations associated with its financial liabilities that are settled by delivering cash or another financial asset. The Company's approach to managing liquidity is to ensure, as far as possible, that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

(b) Contractual maturities of financial liabilities as of December 31, 2024 and 2023 are as follows:

(In thousands of won)		2024		
		Book value	Within one year	Over one year
Trade payables	₩	24,094,137	24,094,137	-
Non-trade payables		2,770,952	2,770,952	-
Accrued expenses		11,143,620	11,143,620	-
Short-term borrowings		102,626,552	105,654,876	-
Long-term non-trade payables		206,583	-	206,583
	₩	140,841,844	143,663,585	206,583

(In thousands of won)		2023		
		Book value	Within one year	Over one year
Trade payables	₩	1,310,979	1,310,979	-
Non-trade payables		1,359,242	1,359,242	-
Accrued expenses		6,535,645	6,535,645	-
Short-term borrowings		90,260,266	95,675,882	-
Long-term non-trade payables		204,819	-	204,819
	₩	99,670,951	104,881,748	204,819

10. Retirement and Severance Benefits

(a) Changes in provision for retirement and severance benefits for the years ended December 31, 2024 and 2023 are summarized as follows:

(In thousands of won)		2024	2023
Beginning balance	₩	4,503,848	4,012,170
Accrual for retirement and severance benefits		1,815,193	1,303,979
Payments		(744,272)	(812,301)
Ending balance		5,574,769	4,503,848
Less: pension plan assets		(5,302,499)	(3,804,782)
Net balance at end of year	₩	272,270	699,066

As of December 31, 2024, the Company maintains a defined benefit pension plan with Bank A and Bank B.

10. Retirement and Severance Benefits, Continued

(b) Changes in pension plan assets for the years ended December 31, 2024 and 2023 are as follows:

(In thousands of won)		2024	2023
Beginning balance	₩	3,804,782	2,489,171
Increase		2,246,820	1,912,883
Decrease		(749,103)	(597,272)
Ending balance	₩	5,302,499	3,804,782

As of December 31, 2024, there is no retirement pension amount expected to be paid within one year and pension plan assets wholly consist of time deposits.

11. Provisions

(a) Change in provisions for the years ended December 31, 2024 and 2023 are as follows:

(In thousands of won)		2024				
		Beginning balance	Increase	Decrease	Ending balance	Remark
Provision for restoration	₩	170,310	-	-	170,310	Non-current
Provision for onerous contracts		-	970,140	-	970,140	Non-current
	₩	170,310	970,140	-	1,140,450	

(In thousands of won)		2023				
		Beginning balance	Increase	Decrease	Ending balance	Remark
Provision for restoration	₩	-	170,310	-	170,310	Non-current

(b) Provision for restoration
The Company recognizes a provision for restoration in relation to lease agreements where restoration obligations exist.

(c) Provision for onerous contracts
The Company recognizes a provision for onerous contracts in connection with lease contracts that meet the criteria for onerous contracts.

12. Commitments and Contingencies

(a) Deposits with banks which are restricted in use as of December 31, 2024 and 2023 are as follows:

(In thousands of won)	Type	Financial institution		2024	2023	Details
Long-term financial instruments	Guarantee deposits	Bank A	₩	2,000	2,000	Guarantee for deposits

(b) Details of pledged assets (including restriction in ownership) as of December 31, 2024 are as follows:

(In thousands of won)

Pledged assets		Book value of assets	Pledged amount	Creditor	Borrowed type		Borrowed amount
Land and buildings	₩	8,389,296	13,400,000	Bank A	Short-term borrowings	₩	-
			6,500,000	Bank B			-
Land		4,448,619	417,000	CREDITORCO A LTD.	-		-

(c) Type of insurance, insured assets and insurance coverage held by the Company as of December 31, 2024 are as follows:

(In thousands of won)

Type of insurance	Insured assets		Insurance coverage		Insurance premium	Insurer
Fire	Inventories, property, plant and equipment	₩	258,913,954	₩	112,839	Insurer A Ltd.

In addition, the Company maintains environmental liability insurance, gas accident liability insurance, elevator accident liability, group insurance, and comprehensive vehicle insurance.

(d) As of December 31, 2024, the Company holds guarantee insurances amounting to ₩152 million provided by Guarantee Insurer A in connection with the contract performance, etc.

(e) Conflicts between Russia and Ukraine and international sanctions against Russia is ongoing. Restrictions on Russian banks' access to SWIFT payment systems caused the lack of liquidity in the Russian foreign exchange market, decline in Russian Ruble and decrease in the Russian companies' enterprise value. This may result in a decrease in the value of financial assets or operating assets held by the Company in relation to a disputed country, an increase in the collection period, restrictions on capital transfers, and a decrease in profits.

13. Common stock

Details of common stock as of December 31, 2024 and 2023 are as follows:

(In thousands of won and share)		2024	2023
The number of authorized shares		1,000,000,000	1,000,000,000
Par value per share (in won)	₩	500	500
The number of shares issued and outstanding		113,166,715	113,166,715
Par value		56,583,358	56,583,358

14. Stock option

(a) According to a special resolution of shareholders' meeting or resolution of the board of directors, the Company is permitted to grant stock options to directors and employees who have contributed or will contribute to the Company's business, overseas operations and technical innovation. 3,404,500 stock options have been granted over 12 rounds; however, as of December 31, 2024, all of them have been forfeited, and there are no valid stock options.

(b) There are no compensation costs recognized and remaining compensation costs for the years ended December 31, 2024 and 2023.

15. Sales

Sales for the years ended December 31, 2024 and 2023 are as follows:

(In thousands of won)		2024	2023
Sales of manufactured goods	₩	97,161,831	47,422,419
Sales of merchandising goods		77,751,443	344,339
Others		4,633,653	2,443,248
	₩	179,546,927	50,210,006

16. Cost of Sales

Cost of sales for the years ended December 31, 2024 and 2023 are as follows:

(In thousands of won)		2024	2023
Cost of manufactured goods	₩	80,593,446	53,447,108
Cost of merchandising goods		68,089,325	277,279
Others		1,367,657	2,705
	₩	150,050,428	53,727,092

17. Selling, General and Administrative Expenses

Selling, general and administrative expenses for the years ended December 31, 2024 and 2023 are as follows:

(In thousands of won)		2024	2023
Salaries	₩	3,997,110	2,211,808
Severance benefits		345,174	137,280
Employee benefits		128,541	291,576
Travel		309,447	108,012
Entertainment		90,037	38,229
Communications		46,025	30,067
Utility		940	717
Taxes and dues		447,002	196,946
Depreciation		111,371	40,914
Lease		345,892	181,081
Repair		-	500
Insurance		22,679	33,716
Vehicle maintenance		13,866	12,582
Research and development		6,862,145	-
Freight		257,900	444,419
Training		10,984	17,866
Publication		6,143	5,363
Meeting		16,331	48,018
Events		1,650	13,726
Supplies		87,616	167,484
Service fees		1,683,549	1,147,319
Advertising		196,898	15,222
Bad debt for trade receivables		10,900,392	2,240,477
Amortization		38,023	14,541
Samples		92,753	440,975
	₩	25,512,468	7,838,838

18. Income Taxes

(a) The reconciliation between income before income taxes and income tax expense for the years ended December 31, 2024 and 2023 is as follows:

(In thousands of won)		2024	2023
Income (loss) before income taxes	₩	(14,089,109)	32,117,938
Taxes at statutory tax rate		(2,944,624)	6,957,244
Adjustments:			
Non-deductible expense		57,655	21,533
Unrecognized deferred tax		2,872,443	(6,798,819)
Others		14,526	(179,958)
Income tax expense (benefit)	₩	-	-
Effective tax rate (%)		0.0%	0.0%

(b) Changes in temporary differences and deferred tax assets (liabilities) for the year ended December 31, 2024 and 2023 are as follows:

(In thousands of won)		2024			
		Beginning balance	Deferred tax expense (income)	Directly charged to (credited from) equity	Ending balance
Capitalized interest expense	₩	3,109	-	-	3,109
Impairment loss on property, plant and equipment		431,601	358,013	-	789,614
Government grants		1,014,126	35,790	-	1,049,916
Non-trade receivables		(216,124)	-	-	(216,124)
Allowance for doubtful accounts		3,294,359	9,482,587	-	12,776,946
Provision for retirement and severance benefits		4,598,004	1,070,921	-	5,668,925
Pension plan assets		(3,804,783)	(1,497,717)	-	(5,302,500)
Gain on foreign currency translations		(508,889)	(1,108,584)	-	(1,617,473)
Loss on foreign currency translations		1,698,050	10,714,241	-	12,412,291
Accrued income		(11,859)	(27,766)	-	(39,625)
Inventory valuation allowance		2,981,977	(631,624)	-	2,350,353
Accrued expenses		353,439	(281,299)	-	72,140
Provision for bonus		195,430	2,658,038	-	2,853,468
Provision for restoration		170,310	-	-	170,310
Provision for onerous contracts		-	970,140		970,140
Revaluation on land		(2,864,650)	-	-	(2,864,650)
Revaluation on buildings		(1,138,242)	69,502	-	(1,068,740)
Depreciation		343,849	(136,786)	-	207,063
Amortization		19,757	(3,227)	-	16,530
Tax loss carryforwards		20,134,620	(7,858,980)	-	12,275,640
		26,694,084	13,813,249	-	40,507,333
Deferred tax assets (*)		-	-	-	-
Deferred tax liabilities (*)	₩	(598,712)	-	-	(598,712)

(*) As an expected future tax rate applied to temporary differences, the tax rate (20.9%) at the period in which the temporary differences are expected to reverse is applied.

18. Income Taxes, Continued

(In thousands of won)		2023			
		Beginning balance	Deferred tax expense (income)	Directly charged to (credited from) equity	Ending balance
Capitalized interest expense	₩	3,109	-	-	3,109
Impairment loss on property, plant and equipment		431,601	-	-	431,601
Government grants		1,067,167	(53,041)	-	1,014,126
Non-trade receivables		(216,124)	-	-	(216,124)
Allowance for doubtful accounts		1,179,428	2,114,931	-	3,294,359
Provision for retirement and severance benefits		4,106,326	491,678	-	4,598,004
Pension plan assets		(2,489,171)	(1,315,612)	-	(3,804,783)
Gain on foreign currency translations		(3,957,066)	3,448,177	-	(508,889)
Loss on foreign currency translations		863,189	834,861	-	1,698,050
Accrued income		(65,175)	53,316	-	(11,859)
Inventory valuation allowance		2,644,523	337,454	-	2,981,977
Accrued expenses		333,012	20,427	-	353,439
Provision for bonus		-	195,430	-	195,430
Provision for restoration		-	170,310	-	170,310
Revaluation on land		(2,864,650)	-	-	(2,864,650)
Revaluation on buildings		(1,207,744)	69,502	-	(1,138,242)
Depreciation		643,305	(299,456)	-	343,849
Amortization		58,704	(38,947)	-	19,757
Tax loss carryforwards		76,205,625	(56,071,005)	-	20,134,620
		76,736,059	(50,041,975)	-	26,694,084
Deferred tax assets (*)		-	-	-	-
Deferred tax liabilities (*)	₩	(601,576)	-	2,864	(598,712)

(*) As an expected future tax rate applied to temporary differences, the tax rate (20.9%) at the period in which the temporary differences are expected to reverse is applied.

(c) Temporary differences and loss carry forwards, which are not recognized as deferred tax assets as of December 31, 2024 and 2023 are as follows:

(In thousands of won)		2024	2023
Deductible temporary differences (*a)	₩	31,096,343	9,424,114
Unused tax loss carryforwards (*b)		12,275,640	20,134,620
	₩	43,371,983	29,558,734

(*a) The amount equivalent to the above temporary differences does not seem to reverse (or be realized) in the foreseeable future based on the review over the possibility of deferred tax assets realization by estimating expected future taxable income. Accordingly, the deferred tax assets are not recognized.

(*b) The amount equivalent to the above tax loss carryforwards does not seem to reverse (or be realized) in the foreseeable future based on the review over the possibility of deferred tax assets realization by estimating expected future taxable income. Accordingly, the deferred tax assets are not recognized.

19. Earnings per Share

(a) Basic earnings per share is the calculation of profit or loss on one common share, and the calculation details of basic earnings (loss) per share for the years ended December 31, 2024 and 2023 are as follows.

(In won, except share information)		2024	2023
Net income (loss) attributable to common stock	₩	(14,089,109,318)	32,117,937,888
Weighted-average number of common shares outstanding (*)		113,166,715	113,166,715
Basic earnings (loss) per share	₩	(124)	284

(*) Weighted-average numbers of common shares outstanding for the years ended December 31, 2024 and 2023 are calculated as follows:

(In share)	2024	2023
Beginning issued shares	113,166,715	113,166,715
Change in issued shares	-	-
Ending issued shares	113,166,715	113,166,715

(b) As of December 31, 2024, there are no potentially dilutive common stocks, and as of December 31, 2023, diluted earnings per share were identical to basic earnings per share as potentially dilutive common stocks had no dilutive effect.

20. Assets and Liabilities Denominated in Foreign Currency

Assets and liabilities denominated in foreign currencies as of December 31, 2024 and 2023 are as follows:

(In thousands of won and foreign currencies)		2024						
		Foreign currency		Korean won equivalent		Gain on translation		Loss on translation
Cash and cash equivalent	USD	1,272	₩	1,869	₩	114	₩	-
	CNY	232,209		46,737		1,037		-
	EUR	6,750		10,319		159		-
	RUB	825,812		10,983		-		672
Trade receivables	USD	13,858,063		20,371,352		1,322,944		-
	CNY	93,702,044		18,859,410		293,220		-
Trade payables	USD	326,352		479,738		-		45,127
	EUR	2,412		3,687		-		206
Short-term borrowings	USD	62,100,000		91,287,000		-		11,215,260
	CNY	56,340,000		11,339,552		-		1,151,026
					₩	1,617,474	₩	12,412,291

20. Assets and Liabilities Denominated in Foreign Currency, Continued

(In thousands of won and foreign currencies)

		2023			
		Foreign currency	Korean won equivalent	Gain on translation	Loss on translation
Cash and cash equivalent	USD	84,463	₩ 108,907	₩ -	₩ 1,569
	CNY	414,832	75,018	-	717
Trade receivables	USD	14,426,150	18,601,077	36,286	486,433
	JPY	5,015,500	45,774	-	2,032
Trade payables	USD	215,785	278,233	305	2,050
Short-term borrowings	USD	62,100,000	80,071,740	224,000	1,195,610
	CNY	56,340,000	10,188,526	248,299	9,639
				₩ 508,890	₩ 1,698,050

21. Related Party Transactions

(a) Details of related parties as of December 31, 2024 and 2023 are as follows:

Relationship	2024	2023	Remark
Ultimate controlling entity	Ultimate ParentCo Group	Ultimate ParentCo Group	
Intermediate controlling entity	Current ParentCo Ltd.	Former ParentCo LLP	Shareholder (*)
Others	RELATED SALESCO LTD. Related LenderCo Ltd.	RELATED SALESCO LTD. Related LenderCo Ltd.	

(*) In 2022, Related LenderCo Ltd. acquired 49.16% shares of the Company from Former Investor A Limited., and it became a controlling entity of the Company. In 2023, Former ParentCo LLP, a Ultimate ParentCo Group affiliate, became the controlling entity of the Company with the acquisition of entire shares over the Company owned by Related LenderCo Ltd.. In 2024, Current ParentCo Ltd. acquired shares from Former ParentCo LLP and the controlling entity has changed from Former ParentCo LLP to Current ParentCo Ltd..

21. Related Party Transactions, Continued

(b) Significant transactions which occurred in the normal course of business with related parties for the year ended December 31, 2024 and 2023 are as follows:

(In thousands of won)

Relationship	Name		2024 Sales and other (*)	2024 Purchase
Others	Related LenderCo Ltd.	₩	20,592,179	-
	RELATED SALESCO LTD.		52,551,412	-
		₩	73,143,591	-

(*) Other amounting to ₩27,767 thousand consists of interest income.

(In thousands of won)

Relationship	Name		2023 Sales and other (*)	2023 Purchase
Others	Related LenderCo Ltd.	₩	59,047,255	-
	RELATED SALESCO LTD.		28,370,957	-
		₩	87,418,212	-

(*) Other amounting to ₩51,575,064 thousand consists of gain on sale of investment in securities and interest income.

(c) Account balances with related companies as of December 31, 2024 and 2023 are as follows:

(In thousands of won)

Relationship	Name		2024 Receivables (*)	2024 Payables
Others	Related LenderCo Ltd.	₩	5,049,213	155,345,818
	Related SalesCo Ltd.		9,868,548	20,444,557
		₩	14,917,761	175,790,375

(In thousands of won)

Relationship	Name		2023 Receivables (*)	2023 Payables
Others	Related LenderCo Ltd.	₩	1,250,497	147,438,607
	Related SalesCo Ltd.		15,069,372	44,114,804
		₩	16,319,869	191,553,411

(*) As of December 31, 2024, the Company has set a credit loss allowance of ₩172,229 thousand (2023: ₩79,869 thousand) and ₩1,749,425 thousand (2023: ₩883,042 thousand) for receivables from Related LenderCo Ltd. and RELATED SALESCO LTD., respectively.

21. Related Party Transactions, Continued

(d) Significant financial transactions with related companies for the years ended December 31, 2024 and 2023 are summarized as follows:

(In thousands of won)

				2024				
Relationship	**Type**	**Name**		**Beginning**	**Increase**	**Decrease**	**Other (*)**	**Ending**
Others	Borrow	Related LenderCo Ltd.	₩	90,260,266	-	-	12,366,286	102,626,552

(*) Change due to foreign currency translation.

(In thousands of won)

				2023				
Relationship	**Type**	**Name**		**Beginning**	**Increase**	**Decrease**	**Other (*)**	**Ending**
Others	Borrow	Related LenderCo Ltd.	₩	68,560,930	20,966,386		732,950	90,260,266
	Lend	RELATED SALESCO LTD.		985,960	-	(985,960)	-	-
			₩	69,546,890	20,966,386	(985,960)	732,950	90,260,266

(*) Change due to foreign currency translation.

Interest income generated from the financial transactions with related companies for the years ended December 31, 2024 and 2023 is nil and ₩40,197 thousand, respectively, and the interest expenses are ₩5,747,725 thousand and ₩5,131,072 thousand, respectively.

22. Statement of Cash Flows

Major transactions without cash inflow or outflow from investing and financing activities are as follows:

(In thousands of won)

		2024	2023
Non-trade receivables associated with sale of property, plant and equipment and intangible assets	₩	31,828	-
Non-trade payables associated with acquisition of property, plant and equipment and intangible assets		(12,793)	52,371
Acquisition of available-for-sale securities		14,630	-
Write-off of trade receivables and non-trade receivables		765,983	-
Increase in provision for restoration		-	170,310

23. Value Added Information

The components of manufacturing costs and selling, general and administrative expenses which are necessary in computation of value added for the years ended December 31, 2024 and 2023 are as follows:

(In thousands of won)

		2024	2023
Salaries	₩	20,633,476	12,184,071
Severance benefits		1,815,193	1,303,979
Employee benefits		632,775	1,614,520
Depreciation and amortization		5,332,426	2,619,951
Lease		675,081	514,205
Taxes and dues		1,796,748	578,472
	₩	30,885,699	18,815,198

24. Statements of Disposition of Deficits

Statements of disposition of deficits for the years ended December 31, 2024 and 2023 are as follows:

Expected date of disposition for 2024: May 30, 2025
Date of disposition for 2023: May 31, 2024

(In won)

		2024	2023
Undisposed accumulated deficits			
Balance at beginning of year	₩	(55,764,306,838)	(87,882,244,726)
Net income (loss)		(14,089,109,318)	32,117,937,888
Balance at end of year before disposition		(69,853,416,156)	(55,764,306,838)
Disposition of accumulated deficits		-	-
Undisposed accumulated deficits to be carried over to subsequent year	₩	(69,853,416,156)	(55,764,306,838)

25. Subsequent Events

The financial statements as of and for the year ended December 31, 2024 will be approved by the general shareholders' meeting to be held on May 30, 2025. On April 15, 2025, the Company entered into an additional short-term borrowing facility of W20,000 million with Related LenderCo Ltd., which matures within twelve months from the drawdown date.

26. Material Uncertainty Related to Going Concerns

(a) The financial statements of the Company have been prepared on a going concern basis, which assumes the Company will be able to realize its assets and settle its liabilities in the normal course of business for the foreseeable future. However, the Company’s current liabilities exceeded its current assets by ₩38,185 million. These events or conditions indicate that a material uncertainty exists that may cast significant doubt on the Company’s ability to continue as a going concern.

(b) The Company’s plan to resolve going concern issues is as follows:

- Related LenderCo Ltd., the Company’s related company, will extend the maturity of borrowings that amount to ₩102,627 million (USD 62,100,000 and CNY 56,340,000) and are due on June 29, 2025, by an additional 6 months.
- On the other hand, the Company plans to convert the entire borrowings from Related LenderCo Ltd. as of December 31, 2024 into equity in 2025.

(c) Under the situation where any doubt is raised about the validity of continuation as a going concern, a basis of the Company's financial statements preparation, there exists a significant uncertainty as the validity of continuation as going concern depends on the outcome of the Company’s plan to raise funds necessary for debt repayment or other financial needs and the financial and operational improvement plan to achieve stable profits.

If the Company cannot continue as a going concern due to a setback in these plans, the Company's assets and liabilities may not be recovered or repaid at carrying amounts through normal course of business. The financial statements do not include any adjustments to the amount and classification of assets and liabilities that may be necessary should the Company not continue as a going concern as a final result of the uncertainty.